

Implement the Solution or Try a New One in Case of Unfavourable Results

If the solution proves to be successful during the trial round, then it can be implemented on a large scale. If the results turn out to be unfavourable, the company needs to reconsider the chosen solution by trying out a different one.

2. Bounded Rationality

Bounded rationality is a concept that acknowledges the limitations of human decision-making. We make satisfactory or good decisions instead of always making the best possible decisions given the constraints of time, information, and cognitive abilities.

We don't comprehensively analyse every option and consider all potential outcomes. Instead, we rely on mental shortcuts to simplify decision-making and achieve satisfactory results. Hence, we are bound by our limitations as human beings, and we make satisfactory decisions under those constraints.

